

REAL ESTATE INVESTMENT FUND

Kickoff Workflow & Key Definitions

Distressed & Foreclosure Property Strategy
High Cash Flow Focus

CONFIDENTIAL — FOR PARTNER USE ONLY

Prepared: April 2026

Section 1: Key Definitions

Before diving into the workflow, here are the essential terms every partner should understand.

Fund Structure Terms

Term	Definition
LLC (Limited Liability Company)	The legal entity that holds the fund. Protects each partner's personal assets from fund liabilities. This is the standard vehicle for real estate investment funds.
General Partner (GP)	The managing partner(s) who run day-to-day operations, make investment decisions, and are responsible for fund execution. In this case, you and your partners.
Limited Partner (LP)	Passive investors who contribute capital but do not manage the fund. Their liability is limited to their investment amount.
Operating Agreement	The legal document governing how the LLC operates: roles, voting rights, profit distribution, capital calls, and exit procedures. This is your partnership's rulebook.
PPM (Private Placement Memorandum)	A legal disclosure document provided to potential investors that outlines the fund's strategy, risks, terms, and fees. Required for SEC compliance when raising outside capital.
Regulation D (506b/506c)	SEC exemptions that allow you to raise capital without full registration. 506(b) allows up to 35 non-accredited investors but no public advertising. 506(c) permits advertising but requires all investors to be accredited.
Accredited Investor	An individual with income over \$200K/year (or \$300K joint) for the past two years, or net worth exceeding \$1M excluding their primary residence.
Capital Call	A formal request from the GP to LPs to contribute additional capital beyond their initial investment, typically to cover unexpected costs or new acquisitions.
Preferred Return	A minimum annual return (often 6–8%) paid to LPs before the GP receives any profit share. Ensures investors get paid first.

Property & Investment Terms

Term	Definition
Distressed Property	Real estate under financial, legal, or physical distress, often available below market value. Includes pre-foreclosures, auction properties, and bank-owned homes.
Pre-Foreclosure	Stage 1 of the distress pipeline. The owner has defaulted on their mortgage but still holds the title. Allows for direct negotiation with the homeowner.
Auction / Sheriff's Sale	Stage 2. The property is scheduled for public sale, typically at the county courthouse or online. Usually requires all-cash payment within 24–48 hours.
REO (Real Estate Owned)	Stage 3. The bank has taken back the property after a failed auction. Most straightforward to purchase — you can inspect, negotiate, and finance conventionally.
Cash-on-Cash Return	Annual pre-tax cash flow divided by total cash invested. Example: \$12,000 annual cash flow on a \$100,000 investment = 12% cash-on-cash return. This is your primary profitability metric.
Cap Rate	Net Operating Income (NOI) divided by the property's purchase price. Measures the property's return independent of financing. Higher cap rate = higher yield.
NOI (Net Operating Income)	Total rental income minus operating expenses (taxes, insurance, repairs, management). Does not include mortgage payments. The core measure of property performance.
ARV (After Repair Value)	The estimated market value of a property after all renovations are completed. Used to determine if a distressed deal is profitable.
Rehab Budget	The total estimated cost to renovate a distressed property to rentable or saleable condition. Typically the biggest risk variable in distressed investing.
BRRRR Strategy	Buy, Rehab, Rent, Refinance, Repeat. A method of recycling capital: purchase a distressed property, renovate it, rent it out, refinance to pull out your capital, then reinvest.

Financial & Fee Terms

Term	Definition
Acquisition Fee	A one-time fee (typically 1–3% of purchase price) paid to the GP for sourcing and closing a deal.
Management Fee	An ongoing annual fee (typically 1–2% of assets under management) paid to the GP for operating the fund.
Profit Split / Promote	The division of profits between GPs and LPs after the preferred return is paid. Common structures: 70/30 or 80/20 (LP/GP).
Waterfall Distribution	A tiered profit-sharing structure. Typically: (1) Return of capital to LPs, (2) Preferred return to LPs, (3) Catch-up to GP, (4) Remaining profits split per agreement.
Syndication	A deal-by-deal investment structure (vs. a blind-pool fund). Investors commit to specific properties rather than a general fund. Simpler and cheaper to set up at smaller scale.
Hard Money Loan	A short-term, high-interest loan from a private lender, typically used to acquire and rehab distressed properties quickly. Interest rates usually 10–15%.

Section 2: Kickoff Workflow

The following workflow outlines the critical steps to launch the fund, from entity formation through first acquisition. Each step includes the responsible owner and a clear description of what needs to happen.

Phase 1: Foundation (Weeks 1–4)

#	Step	Description	Owner
1	Align on Fund Vision	All partners meet to agree on fund strategy: distressed/foreclosure focus, target cash-on-cash return (8–12%+), target markets, risk tolerance, and timeline. Document decisions in writing.	All Partners
2	Define Roles & Authority	Assign clear responsibilities: who manages operations (Holly), who sources deals (Advisor), who handles investor relations, who approves acquisitions. Define voting/veto rights and dollar thresholds requiring unanimous consent.	All Partners
3	Engage Securities Attorney	Hire a real estate securities attorney to advise on structure (fund vs. syndication), draft the Operating Agreement, PPM, and subscription documents. Budget \$15K–25K for legal at this scale.	Holly
4	Form the LLC	File LLC formation documents with your chosen state. Open a dedicated business bank account. Obtain an EIN from the IRS. State filing fees typically \$100–\$800.	Holly

Phase 2: Capital & Compliance (Weeks 3–8)

#	Step	Description	Owner
5	Finalize Fund Terms	Set the preferred return (e.g., 7–8%), profit split (e.g., 80/20 LP/GP), management fee (1–2%), acquisition fee (1–3%), and capital call provisions. Build these into the Operating Agreement.	All Partners
6	Choose SEC Exemption	Select Reg D 506(b) or 506(c). For under \$500K raised from known contacts, 506(b) is typically simpler and more practical. Attorney files Form D within 15 days of first capital acceptance.	Attorney
7	Collect Capital	Each partner signs subscription	Holly

	Commitments	agreements and wires their committed capital to the fund's bank account. Document all contributions. Establish a working capital reserve (\$10K–\$50K).	
8	Set Up Operations	Establish bookkeeping/accounting systems, property management software, contractor database, and deal analysis templates. Set up quarterly reporting cadence for all partners.	Holly

Phase 3: Deal Pipeline (Weeks 6–12)

#	Step	Description	Owner
9	Define Buy Box Criteria	Set acquisition guardrails: target markets, max purchase price (\$50K–\$120K per unit), minimum cash-on-cash return (10%+), max rehab budget, property types (SFR, duplex, small multi).	All Partners
10	Build Sourcing Channels	Register on Auction.com, connect with local REO bank contacts, build wholesaler network, set up county courthouse monitoring for pre-foreclosure filings, engage local real estate agents specializing in distressed properties.	Advisor
11	Underwrite First Deals	Analyze 10–20 potential properties against buy box criteria. Estimate ARV, rehab costs, rental income, and NOI. Run cash-on-cash projections. Present top 3–5 to partnership for review.	Advisor + Holly
12	Property Inspection	Conduct thorough physical inspections of shortlisted properties. Assess structural, plumbing, electrical, roofing, and environmental condition. Get contractor bids for rehab scope.	Advisor

Phase 4: First Acquisition (Weeks 10–16)

#	Step	Description	Owner
13	Make First Offer	Submit offer on the top-ranked property. For REOs, expect negotiation. For auctions, prepare cash. Ensure title search and any required due diligence are completed.	Advisor + Holly
14	Close & Begin Rehab	Complete purchase through title company. Immediately begin renovation with vetted contractors. Track rehab spending against budget weekly. Target 60–90 day rehab timeline.	Holly
15	Tenant Placement	List property for rent at market rate once rehab is 80%+ complete. Screen tenants rigorously (credit, income, references). Execute lease agreement. Target occupancy within 30 days of completion.	Holly
16	Performance Review	After 90 days of rental income, review	All Partners

		actual vs. projected cash flow, rehab cost accuracy, and timeline adherence. Use findings to refine buy box and processes for the next deal.	
--	--	--	--

Section 3: Key Risk Factors

Every partner should understand these risks before committing capital.

Risk	Description	Mitigation
Rehab Cost Overruns	Renovation costs exceed estimates by 30–50%, eating into returns or requiring additional capital.	Add 20–30% contingency to every rehab budget. Get multiple contractor bids.
Vacancy & Tenant Risk	Property sits empty longer than projected, or problem tenants cause damage or miss rent payments.	Budget for 1–2 months vacancy per year. Screen tenants rigorously. Build a maintenance reserve.
Market Depreciation	Property values decline in target market, reducing ARV and potential exit proceeds.	Focus on cash flow over appreciation. Diversify across markets. Buy below replacement cost.
Liquidity Risk	Real estate is illiquid. Partners may not be able to exit quickly if they need their capital back.	Set clear lock-up periods in Operating Agreement. Plan hold periods of 3–5 years minimum.
Partnership Disputes	Disagreements on strategy, spending, or exits can paralyze the fund.	Operating Agreement must include dispute resolution, buyout provisions, and clear decision authority.
Regulatory Non-Compliance	Improperly structured offerings can result in SEC enforcement actions and penalties.	Hire experienced securities attorney. File all required documents. Maintain investor records.

Section 4: Estimated Startup Costs

Approximate costs to bring the fund from concept to first acquisition. These are estimates and will vary based on your state, attorney, and specific circumstances.

Item	Low Estimate	High Estimate
Legal (Operating Agreement, PPM, Subscriptions)	\$15,000	\$25,000
LLC Formation & State Filing Fees	\$100	\$800
Accounting & Tax Setup	\$1,000	\$3,000

Insurance (E&O, General Liability)	\$1,500	\$4,000
Working Capital Reserve	\$10,000	\$30,000
Software & Systems	\$500	\$2,000
Due Diligence & Travel	\$1,000	\$3,000
TOTAL ESTIMATED STARTUP COSTS	\$29,100	\$67,800

Disclaimer: This document is for informational and planning purposes only. It does not constitute legal, financial, or investment advice. Consult qualified legal and financial professionals before making any investment decisions or forming any legal entities.